

Project Study: Token-Based Cost and Performance Allocation for AI in a Regulated Bank

KfW Banking Group

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Company Description

Responsible banking

KfW is one of the world's leading promotional banks. KfW has been committed to improving economic, social and environmental living conditions across the globe on behalf of the Federal Republic of Germany and the federal states since 1948. To do this, it provided funds totalling EUR 112.8 billion in 2024 alone.

A mandate to promote global development

KfW does not have any branches and does not hold customer deposits. To refinance its business activities, KfW raised funds totalling around EUR 71 billion on the international capital markets in 2025 - EUR 14 billion of which through 'Green Bonds - Made by KfW'.

At its headquarters in Frankfurt am Main, at its two branches in Berlin and Bonn, at its subsidiaries KfW IPEX-Bank, DEG and KfW Capital, it employs 9,137 members of staff (as of 2025). It is represented at around 80 locations worldwide.

As a bank committed to responsibility, KfW supports people, countries and institutions who think ahead, driving our society towards the future. This profile is what clearly sets KfW apart from other commercial banks.

Background

With AI assistants like ChatKfW, IT performance can now be measured with consumption-based precision down to individual tokens for the first time—unlike traditional IT costs, which are allocated on a flat-rate basis using allocation keys.

This level of granularity enables precise, cause-based internal cost and performance allocation (showback/chargeback), but raises new management questions: A token measures consumption, not value.

Especially in a regulated institution that relies on auditable, transparent cost allocation, the design determines whether token-based billing drives value-oriented management—or creates perverse incentives. KfW aims to proactively shape this control logic before AI costs become significant.

Problem Definition

This project study conceptually develops a control model for token-based billing of AI services and examines the conditions under which this leads to value-based rather than merely consumption-based control. The study is conducted entirely without data provided by KfW.

The students

- (a) systematize the design options (no allocation / showback / chargeback / value-based models) and anchor them in management control and incentive theory;
- (b) develop, based on theory and expert interviews, a catalog of potential perverse incentives (underutilization of value-creating tools, gaming, model/prompt bias, and a shift to shadow AI) along with countermeasures;
- (c) use the illustrative reference case ChatKfW to derive a target model and a maturity roadmap (showback → chargeback → value-linked) that combines auditability (in the MaRisk/BAIT context) with value-based governance.

Methodology: The study relies exclusively on public literature and FinOps benchmarks, conceptual modeling, and 6–10 expert interviews—without the use of internal cost or token data from KfW; required order-of-magnitude estimates are approximated using public benchmarks and expert assessments.

Result: A decision-making and target model for token-based AI cost management with concrete governance recommendations for KfW.

Project Study Tasks/Assignment

Work on a **highly relevant** and **strategic project** with **impact**

The task of the project study: To develop a control model as the primary outcome. The goal is not to deliver a fully developed solution, but to create a tangible, testable maturity roadmap that demonstrates the core idea and enables validation, feedback, and further development.



You will work directly with a contact person of the company & be supervised by the chair of Entrepreneurship and Family Enterprise



Benefits for students: Gain practical experience in conceptual modelling and qualitative analysis, enhance analytical and problem-solving skills, and build a strong portfolio through real-world governance challenges.



Requirements and Information

Skills: Interest in controlling/management accounting and incentive-based management; foundational knowledge of cost and performance accounting and transfer pricing; ability to perform conceptual modeling and structured qualitative analysis (expert interviews); interest in governance within the regulated financial sector. A basic understanding of AI/LLM usage and cloud/FinOps cost logic is a plus. German language skills for interviews are a plus.

Language: German / English

Group Size: 2 - 5 Students

General Information: [kfw.de](https://www.kfw.de)

Application Process

*If you are interested in participating in the project study, please send the following application documents **per Email** to **Lorenz Tidow**:*

- (1) Letter of Motivation*
- (2) CV*
- (3) Transcript of Records*
- (4) Indicate Project Study of Interest*

Project Start: Mid November 2026

*Application Deadline: End of October
2026*



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